Absorbing Transition DID Results: School 985/211 — Upgrade

	Any Failure		Restatement		Violation	
	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary	Pooled	Mandatory / Voluntary
Panel A: Absorbing DID: Trim						
× Mandatory Rotation		-0.023		-0.003		-0.012
		(0.018)		(0.014)		(0.019)
× Voluntary Rotation		0.003		0.001		0.004
		(0.006)		(0.005)		(0.006)
Pooled	-0.001		0.002		0.000	
	(0.005)		(0.003)		(0.004)	
Mandatory − Voluntary		-0.027		-0.004		-0.015
Difference p-value		0.172		0.757		0.431
Observations	34,428	29,662	34,428	29,662	34,428	29,662
Firms	5,173	4,737	5,173	4,737	5,173	4,737
Panel B: Absorbing DID: Strict						
× Mandatory Rotation		-0.043**		-0.013**		-0.031*
		(0.019)		(0.006)		(0.018)
× Voluntary Rotation		-0.005		0.000		-0.008
		(0.010)		(0.007)		(0.008)
Pooled	-0.010		-0.002		-0.012	
	(0.009)		(0.006)		(0.007)	
Mandatory − Voluntary		-0.038*		-0.012		-0.023
Difference p-value		0.063		0.147		0.228
Observations	16,375	15,692	16,375	15,692	16,375	15,692
Firms	2,274	2,249	2,274	2,249	2,274	2,249
Panel C: Fixed-Window DID: 2-Year Window						
× Mandatory Rotation		-0.019		-0.011		-0.009
		(0.013)		(0.009)		(0.012)
× Voluntary Rotation		-0.003		-0.003		0.000
		(0.004)		(0.003)		(0.004)
Pooled	-0.004		-0.002		-0.002	
	(0.003)		(0.002)		(0.003)	
Mandatory − Voluntary		-0.016		-0.007		-0.010
Difference p-value		0.249		0.450		0.435
Observations	41,068	35,709	41,068	35,709	41,068	35,709
Firms	5,602	5,245	5,602	5,245	5,602	5,245
Panel D: Fixed-Window DID: 3-Year Window						
× Mandatory Rotation		-0.018		-0.008		-0.008
		(0.013)		(0.010)		(0.011)
× Voluntary Rotation		-0.004		-0.003		-0.001
		(0.004)		(0.003)		(0.004)
Pooled	-0.004		-0.001		-0.002	
	(0.003)		(0.002)		(0.003)	
Mandatory − Voluntary		-0.014		-0.005		-0.008
Difference p-value		0.285		0.654		0.522
Observations	43,778	38,268	43,778	38,268	43,778	38,268
Firms	5,602	5,308	5,602	5,308	5,602	5,308
Controls	Yes	Yes	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Audit Firm FE	No	No	No	No	No	No
Sample years	Full	2004 onward	Full	2004 onward	Full	2004 onward

Notes: Each panel reports a firm-year regression with firm and year fixed effects; audit-firm fixed effects are not included. Standard errors clustered at the firm level are in parentheses. The pooled row uses the full observed period and reports the overall quality-dummy coefficient. Mandatory and voluntary rows use 2004 onward and report coefficients from the rotation-type specification. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.10$.